

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-02

NIELSEN & BAINBRIDGE, LLC V.

OCEAN NETWORK EXPRESS PTE. LTD., ORIENT OVERSEAS CONTAINER
LINE LIMITED, OOCL (EUROPE) LIMITED, EVERGREEN LINE JOINT SERVICE
AGREEMENT (FMC#011982), EVERGREEN MARINE CORPORATION (TAIWAN) LTD.,
EVERGREEN MARINE (UK) LIMITED, ITALIA MARITTIMA SPA, EVERGREEN
MARINE (HONG KONG) LTD., EVERGREEN MARINE (SINGAPORE) PTE. LTD., AND
YANG MING MARINE TRANSPORT CORPORATION

**COMPLAINANT'S OMNIBUS MEMORANDUM IN OPPOSITION TO
RESPONDENTS ORIENT OVERSEAS CONTAINER LINE LIMITED, OOCL
(EUROPE), AND OCEAN NETWORK EXPRESS PTE. LTD.'S MOTIONS
TO SEVER AND FOR A MORE DEFINITE STATEMENT**

Complainant Nielsen & Bainbridge, LLC, on behalf of itself and its subsidiaries and affiliates (collectively “NBG” or “Complainant”), by counsel, hereby files this memorandum in opposition to the Motions to Sever and for a More Definite Statement (the “Motions”) filed separately in this proceeding by Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “OOCL”), and Ocean Network Express Pte. Ltd. (“ONE”). The Presiding Officer should deny the Motions because (1) the motions to sever are baseless and have been requested by only two out of the five parties to this proceeding, and (2) the motions for a more definite statement are baseless and, in any event, moot.

I. The Presiding Officer Should Deny the Motions to Sever.

Rule 12 of the Federal Maritime Commission’s (the “Commission” or the “FMC”) Rules of Practice and Procedure (the “Rules”) provides that “[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. ONE and OOCL seek to invoke Rule 21 of the Federal Rules of Civil Procedure, which governs misjoinder and nonjoinder of parties and provides that “[t]he court may also sever any claim against a party.” Fed. R. Civ. P. 21. When analyzing whether to sever a claim or a party, courts generally, as noted by ONE and OOCL in their Motions, consider the standards set forth in Rule 20(a) of the Federal Rules of Civil Procedure because Rule 21 itself does not set forth any particular standard for severance or “joinder”. *See Pan Am. World Airways, Inc. v. U.S. D. Ct. for C.D. Cal.*, 523 F.2d 1073, 1079-80 (9th Cir. 1975). Rule 20(a)(2) reads:

Persons--as well as a vessel, cargo, or other property subject to admiralty process in rem--may be joined in one action as defendants if:

(A) any right to relief is asserted against them jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences; and

(B) any question of law or fact common to all defendants will arise in the action.

Fed. R. Civ. P. 20(a)(2). “[T]he impulse is toward entertaining the broadest possible scope of action consistent with fairness to the parties; ***joinder of claims, parties and remedies is strongly encouraged***”. *United Mine Workers of Am. v. Gibbs*, 383 U.S. 715, 724 (1966) (emphasis added).

A. *This proceeding involves the same series of transactions or occurrences.*

The first prong of Rule 20(a), whether the relief sought arises out of the same series of transactions or occurrences, is satisfied where “there is some connection or logical relationship between the various transactions or occurrences” including a “nucleus of operative facts or law.” *Americans for Fair Pat. Use, LLC v. Sprint Nextel Corp.*, No. 2:10-CV-237-TJW, 2011 WL 98279, at *3 (E.D. Tex. Jan. 12, 2011) (citation omitted). A “‘logical relation’ between claims exists when ***‘the same aggregate of operative facts serves as the basis of both claims.’*” *Kress Stores of Puerto Rico, Inc. v. Wal-Mart Puerto Rico, Inc.*, 121 F.4th 228, 245 (1st Cir. 2024) (quoting *Iglesias v. Mut. Life Ins. Co. of N.Y.*, 156 F.3d 237, 241-42 (1st Cir. 1998)) (emphasis added); *see also id.* at 246 (“[I]t was reasonable for the district court to conclude that plaintiffs’ claims against Costco and Wal-Mart related to the same occurrence: the break-out of the COVID-19 pandemic. . . .”). For that reason, “[a]lthough portions of plaintiffs’ evidence related to breach and causation may be defendant-specific, the Supreme Court has confirmed that the ‘transaction or occurrence’ standard ***does not require that the exact same body of evidence*** be used to prove all claims for joinder to be proper.” *Id.* at 246 (surveying decisions and determining that joinder of multiple defendants is generally improper only “in cases with an unusually large number of parties or without any factual overlap between the claims”) (emphasis added).**

In this proceeding, Complainant has alleged that during the COVID-19 pandemic ***all*** of the Respondents (including ONE and OOCL) engaged in an unjust and unreasonable practice of

failing to satisfy their respective contractual ocean freight service commitments to Complainant in favor of carrying cargo from other shippers paying higher rates, and further alleges that Respondents ONE, OOCL, and Evergreen simultaneously imposed extracontractual charges to carry what little freight that they *did* agree to carry for Complainant. Complainant also alleges that during the COVID-19 pandemic, ***all*** Respondents engaged in unjust and unreasonable practices with respect to their assessment of detention and demurrage penalties in connection with Complainant's ocean freight cargo shipments.

Indeed, Complainant's Verified Complaint (the "Complaint") notes ocean freight industry experts' comments that, during the pandemic, Respondents and other ocean carriers engaged in "concerted, coordinated, and/or parallel activity", including increased industry consolidation and concentration, such that, upon information and belief, during the pandemic ocean carriers were "able to coordinate their policies, leading to instances in which most, if not all, of the unlawful practices alleged herein were being implemented across the board, eliminating the opportunity for customers to seek viable alternative accommodations or mitigate their damages." Compl. ¶¶ 50, 54. The Complaint also alleges that, as a part of their unjust and unreasonable conduct, Respondents ***refused to compete*** with one another and with other carriers for ocean freight volume, and, critically, that the alleged unjust and unreasonable conduct by Respondents with respect to cargo space accommodations and extracontractual surcharges led Complainant and other shippers to resort to the spot market for ocean freight, the prices of which were further inflated by the alleged conduct of the Respondents (including ONE and OOCL) by ***all*** refusing contract-rate space to Complainant and other shippers with service contracts at the same time and thus further driving up spot market prices. *See* Compl. ¶¶ 56–60.

Regarding detention and demurrage penalties, the Complaint alleges in detail that extreme port congestion and supply chain issues during the COVID-19 pandemic permeated the entire ocean freight industry, creating issues at ports used by many of the Respondents, including the Ports of Los Angeles and Long Beach, the Port of Oakland, the Port of New York and New Jersey, as well as many secondary ports. *See* Compl. ¶¶ 42–49. The Complaint alleges that the detention and demurrage penalties assessed by each Respondent were unjust and unreasonable, *inter alia*, “because of circumstances outside the control of Complainant and its agents and service providers, such as congestion at ports, lack of appointments to pick up or return containers, and shortage of equipment such as chassis.” Compl. ¶ 153.

These allegations demonstrate that all of Complainant’s causes of action against the Respondents under the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), arise from the same nucleus of fact because the alleged actions of each Respondent exacerbated the situation in which Complainant had to pay more for spot-market carriage of shipments that could and should have been carried by those Respondents at the rates that Complainant and the Respondents had bargained for. Similarly, Complainant’s claims regarding the Respondents’ unjust and unreasonable detention and demurrage penalties all arise from industry-wide congestion and slowdowns affecting ports and entire regions where multiple Respondents have operations: a common nucleus of fact regarding the issues that plagued those ports during the relevant time period and, thus, whether the causes of the delays, and associated penalties, were outside of Complainant’s control.

The context here is key. Complainant’s actions in seeking spot-market carriage for its cargo during the relevant time period did not occur in a vacuum, but instead in the context of the alleged parallel conduct by **multiple** Respondents providing (or not providing) the same services to

Complainant during the same time period. The same is true for port-related congestion and delays, which affected Complainant's shipments with *all* Respondents that assessed detention and demurrage penalties.

B. This proceeding involves many overlapping issues of law and fact.

The second prong of Rule 20(a) merely requires “at least one common question of law *or* fact linking all claims.” *Acevedo v. Allsup’s Convenience Stores, Inc.*, 600 F.3d 516, 521 (5th Cir. 2010) (emphasis added) (citing *Alexander v. Fulton Cnty., Ga.*, 207 F.3d 1303, 1323 (11th Cir. 2000) (overruled on unrelated grounds as stated in *Manders v. Lee*, 388 F. 3d 1304, 1328 n. 52 (11 Cir. 2003)). ONE and OOCL appear to concede this second prong, noting in each Motion that for some of the claims, “there will be some common questions of law.” OOCL Mot. at 6, ONE Mot. at 6. ONE and OOCL argue that there are factual distinctions involved, which, even if true, is nonetheless baseless, as shown above with respect to the first prong of Rule 20(a). Thus, since the Complaint alleges legally identical and factually similar claims against all Respondents regarding (1) shortfalls in cargo space allocation—including the cycle of those actions by *each* Respondent on prices in the spot market, (2) the improper imposition of extracontractual charges during the same relevant time period (excluding Respondent Yang Ming), as well as (3) improper detention and demurrage penalties imposed by all Respondents due to industry-wide congestion and supply chain issues, this prong weighs heavily against severance.

C. Denying the motions to sever will facilitate efficiency.

ONE and OOCL argue, baselessly, that severing the claims against them (and all Respondents) in this proceeding will be more manageable for pleadings, discovery, and trial, and to “avoid unnecessary confusion”. OOCL Mot. at 6–7, ONE Mot. at 7. Neither movant provides any specific explanation, examples, or precedent as to how severing this case into multiple separate actions could *possibly* be more efficient in support of their listed assertions. OOCL only argues

that the Complaint mentions non-party COSCO when discussing industry consolidation, which would still be included in allegations against any particular carrier in a severed complaint, OOCL Mot. at 6-7, and ONE relies only on the baseless assertion that “each individual Respondent should be entitled to manage the various cases and claims asserted against it” despite the fact that nothing about a consolidated case requires anything than just that. Contrary to ONE and OOCL’s hollow arguments, there are *significant efficiencies* in proceeding against all Respondents in a single action. For example, Complainant and Respondents will be able to (1) negotiate a joint discovery plan to minimize duplicative discovery and consolidate testimony, where possible, (2) present consolidated discovery disputes (if any arise) to the Presiding Officer instead of filing scattershot and potentially duplicative motions raising duplicative issues, and (3) ensure that the timing of discovery and merits briefing with respect to *all* of Complainant’s claims remains consistent, in order to permit the Presiding Officer to make consistent, consolidated rulings on similar legal issues and common or similar facts, including in the Initial Decision in this proceeding. Indeed, the very ability of Complainant to be able to provide *a single, omnibus response* to ONE and OOCL’s nearly identical Motions—instead of two responses requiring the Presiding Officer to review each opposition twice—demonstrates the efficiencies of a consolidated action.

It is also worth noting that ONE and OOCL are in the minority out of the five parties to this proceeding by requesting a severance, suggesting that the other Respondents, like Complainant, believe that this case can and should proceed as filed in an expedient and efficient manner. Despite the fact that ONE and OOCL are in the minority in seeking severance, the Motions nonetheless ask the Presiding Officer to sever *all* of the cases such that they *each* proceed individually, unilaterally demanding an extreme action that would ultimately harm *all* parties and unduly strain the Commission’s judicial resources by forcing it to adjudicate four separate

litigations—all with substantially identical legal issues and significantly overlapping facts—in a piecemeal and potentially inconsistent fashion.

D. No prejudice will result from denying the motions to sever.

ONE and OOCL’s false cry that they will be “prejudiced in time and cost” by “respond[ing] to claims that are wholly unrelated” to the claims against them, falls flat. OOCL Mot. at 7, ONE Mot. at 8. ONE and OOCL can simply deny those allegations that either Respondent contends are outside of its knowledge.

ONE and OOCL’s next arguments—that they will be prejudiced by having to coordinate a discovery schedule with other parties, ONE Mot. at 8, OOCL Mot. at 7—lacks merit, and actually reinforces the *efficiency* of a joint discovery process. Such a process will allow *all* parties to follow a joint plan and will encourage *all* parties to streamline discovery to maximize efficiency and meet the deadlines to be set by the Presiding Officer in this proceeding.

ONE’s argument that Respondents are competitors, ONE Mot. at 8, also does not demonstrate any possible prejudice requiring severance. (If that were the case, virtually every litigation in the United States alleging, for example, horizontal antitrust conspiracies among competitors would entail countless individual actions instead of centralized, streamlined class action and multi-district litigations.) The Commission and its Administrative Law Judges are no strangers to presiding over litigations involving multiple competitor defendants, including many of the Respondents in this proceeding. *See, e.g., Intermodal Motor Carriers Conf. v. Ocean Carrier Equip. Mgmt. Ass’n, Inc.*, FMC Dkt. No. 20-14 (FMC proceeding in which all but one of the Respondents here were named respondents).

Further, as ONE recognizes, the parties here can enter into a confidentiality stipulation to be entered by the Presiding Officer as a protective order governing discovery in this proceeding, ONE Mot. at 8, as Respondents in this proceeding—including ONE—have done in other

proceedings before the Commission. Indeed, in the *Intermodal* litigation before the FMC, ONE affirmatively joined with the complainants and other respondents in joint motions for entry of stipulations and orders of confidentiality governing discovery in that proceeding. *See Intermodal Motor Carriers Conf.*, FMC Dkt. No. 20-14, Dkt. Nos. 39 & 46. ONE cryptically claims that the existence of a protective order in this proceeding would not permit ONE's outside counsel to "effectively evaluate the discovery", ONE Mot. at 8, but offers nothing to support that contention. Here, however, as in other past and pending litigations before the Commission, the parties can negotiate a protective order that would permit outside counsel access to any discovery that might be deemed competitively sensitive by Complainant or another Respondent.

ONE and OOCL also both argue that prejudice will result from inefficiencies caused by consolidated deposition testimony, but the opposite is true. ONE and OOCL argue that each named Respondent would need to sit in on all depositions, ONE Mot. at 8; OOCL Mot. at 7, but that would be no less true if the Presiding Officer were to sever the claims in this proceeding into four separate actions. Severance would not operate to lessen any burden on (or any prejudice to) ONE or OOCL, but instead would simply multiply the burden on Complainant—and, more specifically, Complainant's former employees—fourfold. The Motions thus can be viewed as an attempt to punish Complainant procedurally for bringing its Shipping Act claims, baselessly multiplying what otherwise can and should be an efficient proceeding, forcing each potential deponent from Complainant to sit for up to four separate depositions, instead of consolidating and streamlining testimony about the same issues during the same relevant time period.

E. Many of Complainant's claims are subject to common witnesses and proof.

ONE and OOCL also claim that there will not be overlapping evidence between the claims, *see* ONE Mot. at 9; OOCL Mot. at 7–8, but this flatly ignores that issues regarding port congestion, global supply chain issues, and Complainant's own internal actions and determinations regarding

product purchasing, bookings, allocation, supply chain management, and the use of spot market freight and/or third-party vendors all have significant factual overlap and in many instances involve the very same documents and the very same witnesses, even if individual claims tied to specific port pairs or shipments ultimately relate to fewer than all Respondents.

II. The Presiding Officer Should Deny the Motions for a More Definite Statement.

ONE and OOCL's motions for a more definite statement are baseless and moot.

First, ONE and OOCL's arguments that Complainant has improperly failed to make allegations on an individualized, shipment-by-shipment basis, OOCL Mot. at 8–9; ONE Mot. at 10–11, misunderstand the nature, scope, and extent of Complainant's claims regarding the Respondents' respective shortfalls on their cargo space service commitments. The Complaint does not merely allege specific refusals or failures to accept individual containers for carriage, but instead an unjust and unreasonable practice by all Respondents over an extended period of time of systematically failing to provide cargo space for Complainant's shipments in favor of the cargo of other shippers willing to pay higher prices.

Moreover, the Complaint does, in fact, already allege numerous instances of mishandled bookings by the Respondents. *See* Compl. ¶¶ 66–104. ONE's reliance on the August 27, 2024 decision of the presiding officer in *Giti Tire (USA) LTD. v. Flexport Int'l LLC*, FMC Dkt. No. 24-22, is also misplaced. There, in response to a motion to dismiss, the presiding officer ruled that the complainant had failed to allege facts to support many elements in its complaint, *including* (1) specific provisions within NVOCC Service Arrangements or NVOCC Negotiated Rate Agreements, and their effective dates, which served as the basis for the claims alleged, (2) specificity as to the genesis of certain invoices of detention penalties, (3) what information listed in 46 U.S.C § 44104(d)(2) was missing from complainant's invoices, and (4) the elements of a claim challenging an improper detention and demurrage penalty. While the presiding officer there

invited an amended complaint containing invoice-level detail where necessary, ONE cites no case stating that such granular detail is required to be pled, especially in the context of the extensive, detailed allegations already contained in the Complaint, and, unlike in *Giti Tire*, ONE has not filed any motion to dismiss the Complaint, in whole or in part. OOCL similarly relies on *Samsung Electronics America, Inc. v. OOCL*, Docket No. 24-17 (Nov. 18, 2024) (Order Partially Granting Motion to Dismiss), where in response to OOCL’s argument on a motion to dismiss that the complaint did not specifically state an amount of reparations sought, the presiding officer ordered complainant to amend its complaint to specify the damages amounts. Yet again, OOCL has not filed any motion to dismiss the Complaint, in whole or in part, contrary to what it did in *Samsung Electronics America, Inc.* It is again telling here that only ONE and OOCL, a minority of parties in this proceeding, have filed such a motion.

Second, ONE and OOCL both claim that the Complaint contains only “unspecified” allegations of detention and demurrage damages against ONE and OOCL. ONE Mot. at 11, OOCL Mot. at 9. Meanwhile Paragraphs 158 through 164 of the Complaint, in a subsection titled “ONE”, and Paragraphs 166 through 167 of the Complaint, in a subsection titled “OOCL”, specifically allege several instances of detention and demurrage that were improperly assessed by both Respondents. ONE additionally claims that “[t]he Complaint also fails to allege a specific sum of damages that the Complainant is alleged to have incurred as a result of ONE’s alleged actions”. ONE Mot. at 11. While the Complaint states that the amounts for damages will be “proven at trial”, Compl. ¶¶ 165,168, the Complainant’s Initial Disclosures served to all Respondents on February 10, 2025, specifically list an amount of at least \$280,677 against ONE and \$446,821 against OOCL. The Complaint and the Initial Disclosures thus already provide what ONE and OOCL are

requesting—i.e., the “specific supporting facts”, ONE Mot. at 11, OOCL Mot. at 9, and specific sums—rendering this aspect of the Motions moot.

For the reasons stated above, Complainant requests the Presiding Officer in this matter deny the Motions to Sever and for a More Definite Statement filed separately by Respondent ONE and Respondent OOCL because the motions to sever are baseless and have been requested by only two out of the five parties to this proceeding, and the motions for a more definite statement are baseless and moot.

Dated: February 17, 2025

Respectfully submitted,

Mohini Priya Banerjee Rarrick

Karl C. Huth

(212) 731-9333

huth@huthreynolds.com

Matthew J. Reynolds

(646) 872-9353

reynolds@huthreynolds.com

Gregory A. Crapanzano II

(917) 575-3440

gcrapanzano@huthreynolds.com

Mohini P.B. Rarrick

(818) 235-9753

mpriya@huthreynolds.com

41 Cannon Court

Huntington, NY 11743

*Counsel for Complainant Nielsen & Bainbridge,
LLC*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon Respondents Ocean Network Express Pte. Ltd. (“ONE”), Orient Overseas Container Line Limited, OOCL (Europe) Limited (together with Orient Overseas Container Line Limited, “OOCL”), Evergreen Line Joint Service Agreement (FMC#011982), Evergreen Marine Corp. (Taiwan) Ltd. (“Evergreen Taiwan”), Evergreen Marine (UK) Limited (“Evergreen UK”), Italia Marittima SpA (“Italia”), Evergreen Marine (Hong Kong) Ltd. (“Evergreen Hong Kong”), and Evergreen Marine (Singapore) Pte. Ltd. (“Evergreen Singapore” and collectively with the Evergreen Line Joint Service Agreement, Evergreen Taiwan, Evergreen UK, Italia, and Evergreen Hong Kong, “Evergreen”), and Yang Ming Marine Transport Corporation by emailing a copy to their counsel of record listed below:

Garth S. Wolfson
Edward A. Keane
MAHONEY & KEANE, LLP
40 Worth Street, Suite 602
Suite 602
New York, New York 10013
Telephone: (212) 385-1422

*Counsel for Respondents Evergreen Line Joint Service Agreement
(FMC#011982) et al. and Yang Ming Marine Transport Corporation*

Timothy Semenoro
Wook Chung
Robert O’Connor
Kaspar Kielland
Matteo Bonuzzi
MONTGOMERY MCCracken Walker & Rhoads LLP
427 Madison Avenue, 24th Floor
New York, New York 10022
Telephone: (212) 867-9500

Counsel for Respondent Ocean Network Express PTE. LTD.

Eric C. Jeffrey
Rebecca A. Fenneman
Kaya C. Massey
Nicholas L. Webb
JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005
Telephone: (202) 904-2301

Keith B. Letourneau
Evan Spencer
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, TX 77002
Telephone: (713) 402-7640

Matthew J. Thomas
Emma C. Jones
BLANK ROME LLP
1825 Eye Street NW
Washington, D.C. 20006
Telephone: (202) 772-5971

*Counsel for Respondents Orient Overseas Container Line Limited and
OOCL (Europe) Limited*

Dated: February 17, 2025

Mohini Priya Banerjee Rarrick

Mohini P.B. Rarrick
*Counsel For Complainant Nielsen &
Bainbridge, LLC.*